VISTRA CORP. (NYSE: VST) — TEAR SHEET

The Street Has the Earnings. It Doesn't Have the Rate. · *Coverage initiation, October 3, 2026 (released Oct 26, incl. the Oct 20 corrections)*

Rating	Target (12–18 mo)	Oct 2 close	Model priced at	Proof gate	Buy level	Sell level
HOLD	$140	$140.02	$138.35 (9/30)	FY27 outlook, Nov 6	below ~$122	above ~$173

The largest competitive generator plus the largest retail book, hedged ~100/94/72% for 2026–28, with 3.8 GW of 20-year hyperscaler-nuclear contracts arriving and ~$1.3B/yr of PJM capacity locked at the cap. We agree with the Street on 2026–27 earnings to within 1%; at a 5.26% 10-year, our 8.7% WACC prices the stock at ~$140 — where it trades. The Street's $218 mean requires ~6.5%. We'd buy the pessimistic math, below ~$122.

SCENARIO TREE (10-YR DCF, WACC 8.70%, TV = 50% X 9.0X 2035E EBITDA + 50% GORDON 2.5%)

Case	Prob.	EBITDA '27E → '28E	Path	$/share
Pessimistic	25%	$7.67B → $7.23B	Texas curve right; PJM normalizes after 2029	$93
Base	50%	$8.04B → $8.19B	no Texas deal beyond AWS; PJM flat at the cap	$144
Optimistic	25%	$8.29B → $8.87B	2nd Texas hyperscaler; ERCOT recovers	$173
Probability-weighted				$139

FOUR LENSES, ONE NUMBER

DCF (PW)	EV/EBITDA 9.4x IPP avg	FCF yield 7.0% ('27E)	P/E 14.5x (cross-check)	Weighted → PT
$139 (50%)	$146 (25%)	$139 (25%)	$145 (—)	$141 → $140

WHAT THE MARKET IS PAYING FOR

Pro forma 9.2x EV/2027E EBITDA — its own 5-yr average; below CEG 12.1x, in line with TLN 8.9x, above NRG 7.2x. FCFbG ~$4.3B (≈$12.70/sh, 9.1% yield). Reverse DCF: $218 needs a 15.1x 2035 exit at our 8.7%, or ~6.5% WACC at our exit. On consensus EBITDA our model gives ~$161 — still $57 short of the Street. The disagreement is the rate, not the earnings. Each 50bp of WACC ≈ $11–13/share.

THE NUMBERS THAT ARE REAL

EBITDA '21→'25	Q2'26	FY26 guide	Hedges '26/'27/'28	Net debt	Buybacks since '21	CEO insider buys
$1.94B → $5.91B	$1.77B (+31%)	$6.8–7.6B, reaffirmed	~100% / 94% / 72%	$20.1B (2.8x)	~$6.5B (−30% shares)	3x in 6 days, ~$1.17M

CATALYSTS & KILL CONDITIONS

Nov 6: Q3 + FY27 frame — ≥$8.1B incl. deals confirms base; ≥$8.3B arms the optimistic path; <$7.8B breaks the thesis. · Dec 10: ERCOT audit due. · Dec 22: PJM 2029/30 results. · Late '26: Cogentrix close; Perry→Meta deliveries.

Kills (HOLD → AVOID): 2028 ERCOT hedges < $45/MWh · PJM reform lowering capacity prices after May 2029 · a leveraging acquisition before 2028 · Moody's moving away from investment grade.

LEVELS

Below ~$122	Upgrade to BUY, thesis intact (FY27 guide ≥ $8.1B; no deterioration in 2028 hedge prices)
Near $93	Market pricing the pessimistic case; 2026–30 FCFbG covers ~70% of market value
Above $173	Move to SELL unless a second Texas contract or lower long rates lifted the base case first

Disclosures: research and opinion, not investment advice. The author holds a long position in Vistra — 25 shares bought September 30, 2026, three days before the note was published (disclosed by dated correction, October 20, 2026). No compensation received. AI tools helped draft and compute; a person checked the load-bearing numbers. Full report, workbook and sources: bpleon.com/vst-initiation-2026-10-03 · © 2026 Brandon Leon